



CA INTER MAY/SEP 26/JAN 27

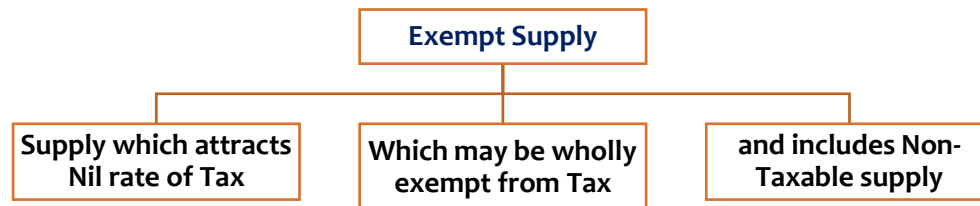
GST

EXEMPTIONS

ONE SHOT



Chapter 5: Exemptions



Section 11 [Power of CG/SG to Grant Exemption]

- ✓ GST law empowers CG/SG, on recommendation of the GST Council, to grant **exemption from tax**.
- ✓ Exemption can be from the **whole of the tax or part of the tax**.

List of Services Exempt from GST:

Services related to charitable and religious activities

important

- It includes services by an entity registered under **section 12AA / 12AB of the Income-tax Act, 1961** by way of charitable activities.
- Charitable Activities mean activities relating to [PEER]
 1. Public health
 2. Advancement of religion, spirituality or yoga;
 3. Advancement of educational **programmes/skill** development relating to,-
 - a) abandoned, orphaned or homeless children;
 - b) physically or mentally abused and traumatized persons;
 - c) prisoners; or
 - d) persons over the age of 65 years residing in a rural area
 4. Preservation of environment
- Services by a person by way of-
 1. **conduct of any religious ceremony**
 2. **Renting of precincts of a religious place**

Exemption is not available in following cases	
Renting	Exemption not available
Renting of rooms	where charges are ₹1,000 or more per day
Renting of premises, community halls, kalyana mandapam or open area	where charges are ₹10,000 or more per day
Renting of shops or other spaces for business or commerce	where charges are ₹10,000 or more per month

Services by a **specified organization** in respect of a **religious pilgrimage** facilitated by GoI, under bilateral arrangement.

Specified organizations
• Kumaon Mandal Vikas Nigam Limited (KMVN), a Government of Uttarakhand Undertaking; • 'Haj Committee of India' or 'State Haj Committee including Joint State Committee'.

Services by way of **training or coaching** in-

- **recreational activities** relating to arts or culture, by an individual, or
- sports by **charitable entities** registered u/s 12AA of the Income-tax Act.

important

Agriculture related services

- a) Services by way of **loading, unloading, packing, storage or warehousing** of rice.
- b) Services by way of warehousing of **minor forest produce**.
- c) Services by way of **storage/warehousing** of Agricultural produce, rice, cereals, pulses, fruits and vegetables.
- d) Services relating to **cultivation of plants and rearing of all life** forms of animals, except Rearing of horses, for food, fibre, fuel, raw material or other similar products or agricultural produce by way of:
 - ✓ agricultural operations **directly related to production** of any agricultural produce

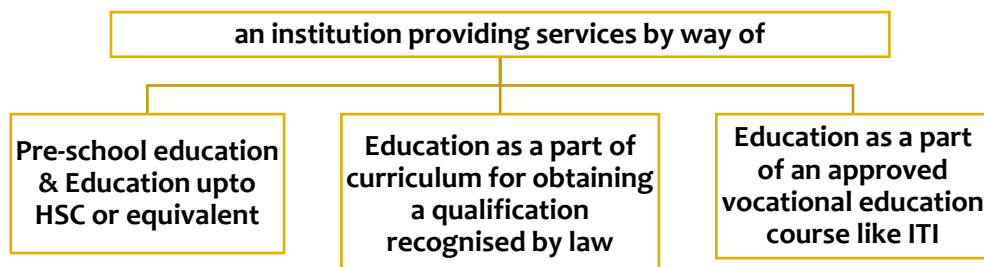


- ✓ supply of farm labour
 - ✓ processes carried out at agricultural farm which do not alter the **essential characteristics** of agricultural produce but make it only marketable for the primary market
 - ✓ renting or leasing of **Agro machinery or vacant land** with or without a structure incidental to its use
 - ✓ loading, unloading, packing, storage or warehousing of agricultural produce
 - ✓ agricultural extension services
 - ✓ services by any **Agricultural Produce Marketing Committee** or Board or services provided by a commission agent for sale or purchase of agricultural produce.
- e) Carrying out an **intermediate production process** as job work in relation to cultivation of plants and rearing of all life forms of animals, except the rearing of horses.
- Note:** Milling of paddy into rice cannot be considered as an intermediate process, therefore is not eligible for exemption
- f) Services by way of **artificial insemination** of livestock (**other than horses**)
- g) Services supplied by **electricity distribution** utilities by way of construction, erection or commissioning, or installation of infrastructure for extending electricity distribution network upto the **tube well of farmer** for agriculture use.
- h) Services provided by the National center for **cold chain development** important



Educational services

Meaning Of Educational Institute:



Services provided:

- a) by an educational institution **to its students, faculty and staff**;
- b) by an educational institution by way of **conduct of entrance examination** against entrance fee;
- c) to an educational institution, by way of:

Transportation of students, faculty and staff	Only if provided to Pre-school or School up to higher secondary school or equivalent
Catering, including any mid-day meals	
Security or cleaning or house-keeping services performed in such educational institution	
Services relating to admission to, or conduct of examination by, such institution	Only if provided to any Education Institute
Supply of online educational journals or periodicals	Only if provided to an institute providing education as a part of its curriculum to obtain qualification

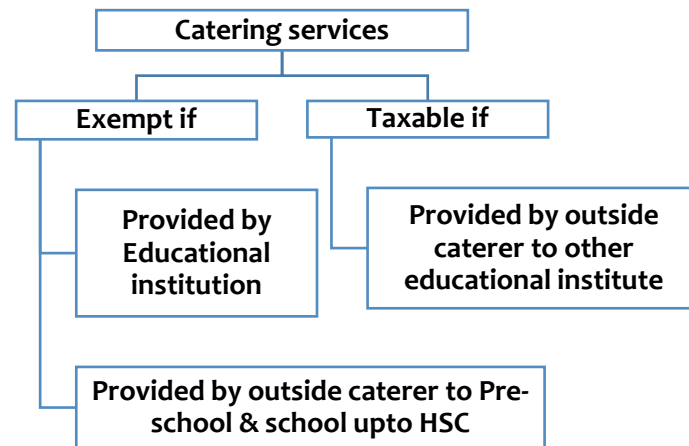
Other Points

- Services of **lodging/boarding** in hostels = **Fully exempt from GST**.
- Annual subscription/fees** charged as lodging/boarding charges for hostel accommodation = **Exempt**
- Services by IIM by way of **Long Duration Program** [1 year or more + Degree/Diploma] = **Exempt**
- Services by IIM by way of **Short Duration Program** [<1 year + Participation Certificate] = **Taxable**
- A course in a college which leads to **dual qualifications**, out of which if only one is recognized by law, would be a case of **bundled supply**. Hence such bundled supply shall be chargeable to **tax at higher rate**.
- Any authority, board or body [**CBSE**] set up by CG/SG (**including NTA**) for conduct of entrance examination shall be treated as educational institution only **for the purpose of conducting examination**.



Services provided by Central or State Boards by way of conduct of examination	Exempt
Input services related to Exam	Exempt
Other services like providing affiliation to an institution or to a professional	Taxable
Services of affiliation provided by Central/State Board or other similar body to a school established, owned or controlled by CG/SG/UT/LA	Exempt

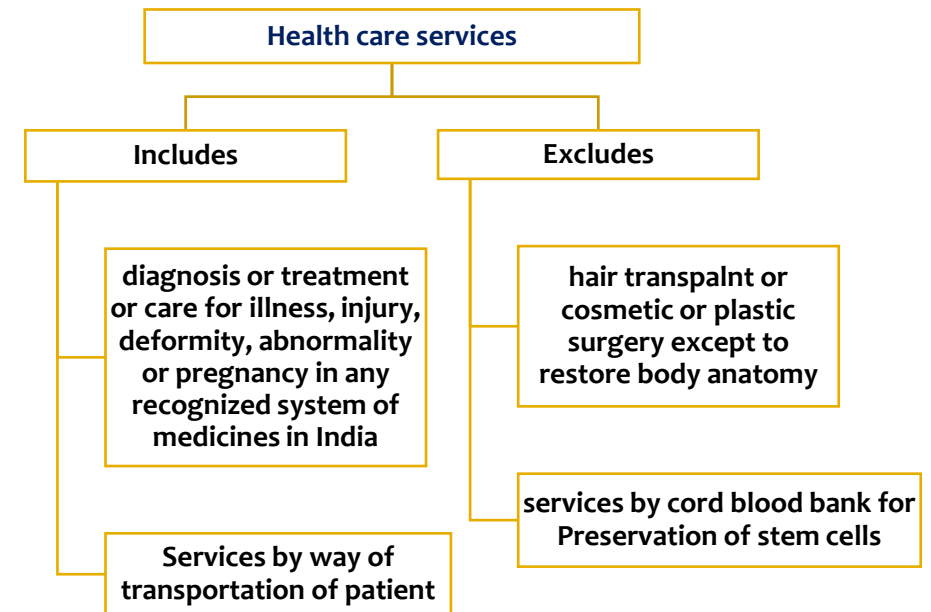
7. Supply of food in a mess or canteen



8. Serving Of Food to Anganwadi = Exempt

9. Entrance fee for conduct of entrance examination/fee for admission/issuance of migration certificate = Exempt

Health care services



Recognized system of medicine

Allopathy/Ayurveda/Homeopathy/Naturopathy/ Yoga/Siddha/Unani.

Note: Reiki is not recognized system of medicine

Exemptions:

- Services by a **veterinary clinic** in relation to health care of animals or birds
- Services by way of:
 - health care services by a clinical establishment, an authorized medical practitioner or paramedics;
 - services provided by way of transportation of a patient in an ambulance



Other Services:

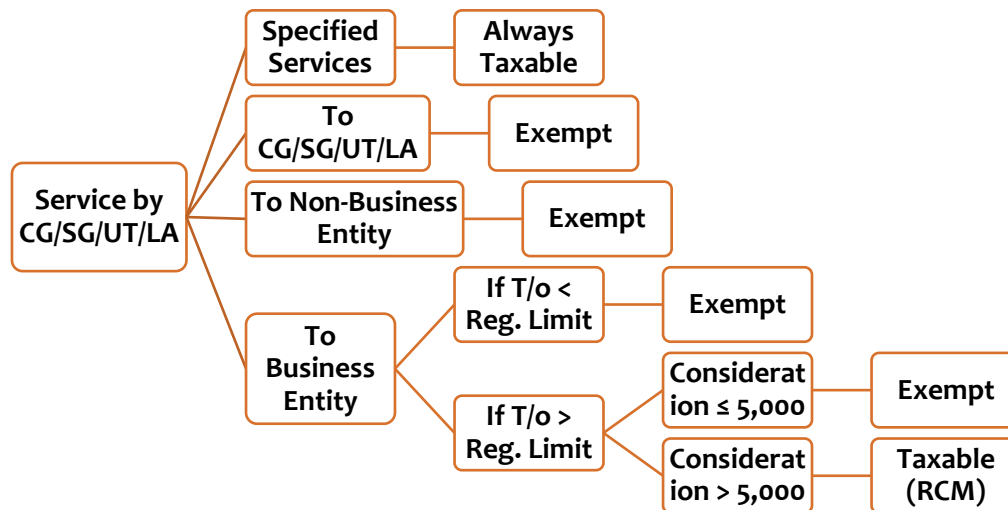
Rent recovered from Patient for ICU/CCU/ICCU/NICU	Fully Exempt
Other categories of rooms (rent charges ≤ ₹ 5,000 per day)	Exempt



Services provided by senior doctors /consultants /technicians (whether employees or not)	Exempt
Food catering services provided by Hospital to Patient	Exempt
Other supplies of food by a hospital to patients (not admitted) or their attendants or visitors	Taxable
Services by way of IVF	Exempt
Renting of shops, auditoriums in the premises of the clinical establishment, display of advertisements etc.	Taxable

important

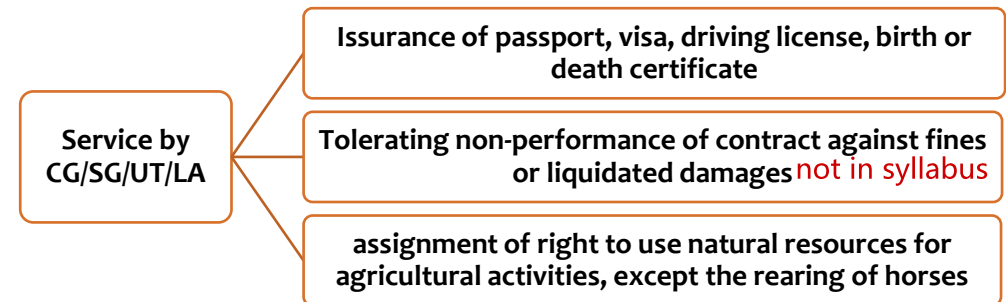
Services provided by Government

**Note:** Specified Services (Always FCM):

- Dept. of Post & Indian Railways, Except Following:
 - Post card / Inland letter
 - Book Post
 - Ordinary post (envelop <10 gms)
 Always Exempt
- Services related to vessel/aircraft inside/outside precincts of Port or Airport
- Transportation of Goods/Passenger except those specifically exempt

Other Exempt Services:

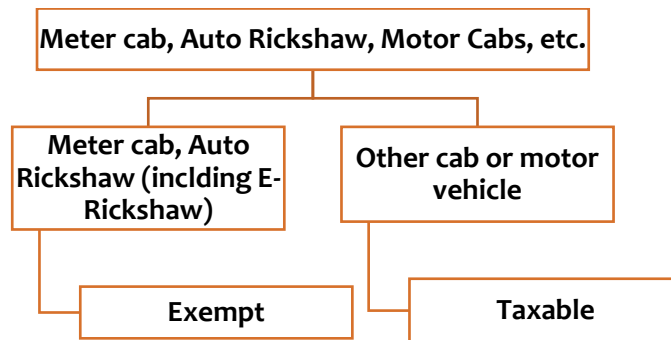
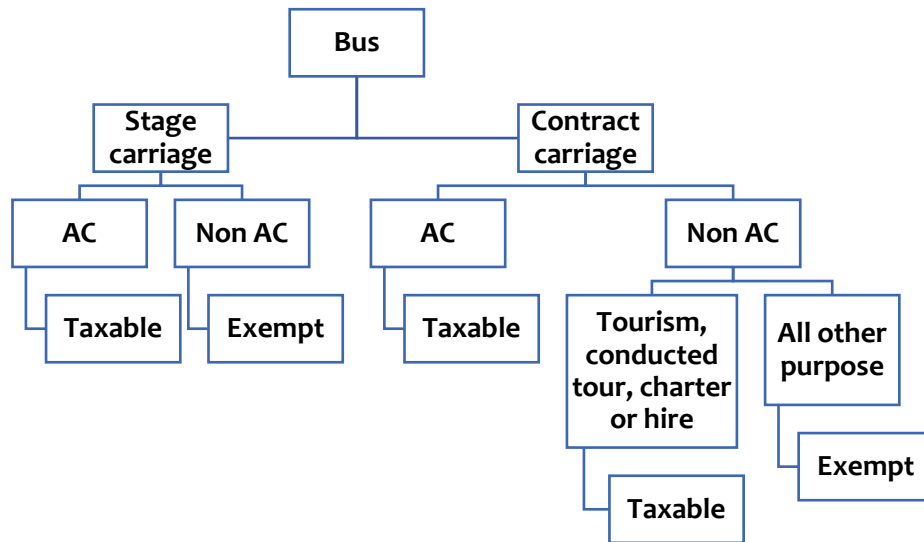
- Services by an old age home run by CG/SG or an entity registered u/s 12AA of the Income-tax Act, 1961 to its residents (aged 60 years or more) against consideration up to ₹25,000 per month per member, provided that the consideration charged is inclusive of charges for boarding, lodging and maintenance.
- Services supplied by CG/SG/UT to their undertakings or PSUs by way of guaranteeing the loans taken by such undertakings or PSUs from the banking companies and financial institutions.
- Services provided by CG/SG/UT/LA by way of



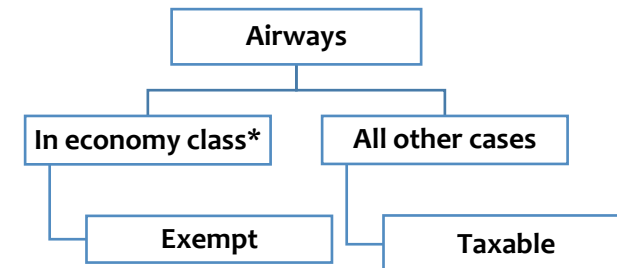
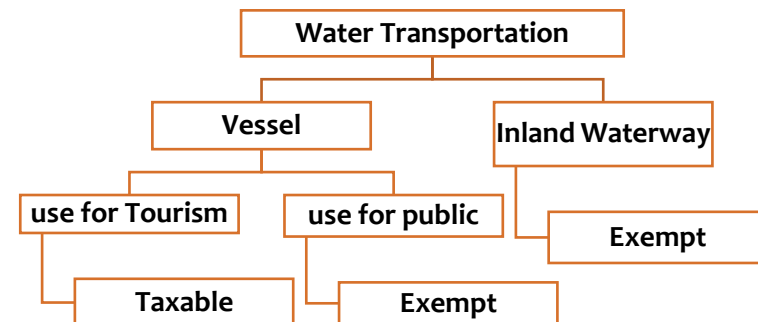
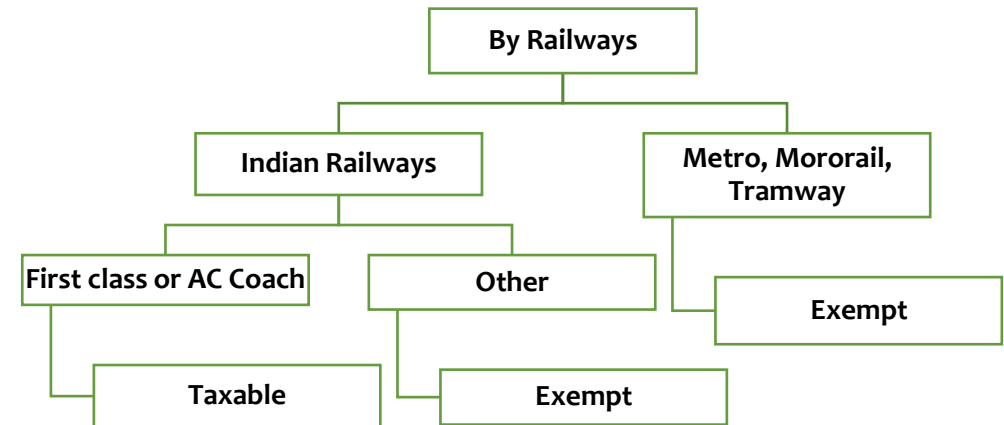
- Services provided by Police/security agencies of Government to PSU/private business entities = Taxable
- Services by Govt. Authority in relation to Function entrusted to Municipality/Panchayat = Exempt
- Services by Rehabilitation Professionals by way of Therapy / Counselling at
 - Medical Establishment
 - Educational Institute
 - Rehabilitation centre
 Established by CG/SG/UT/LA



Passenger transportation services



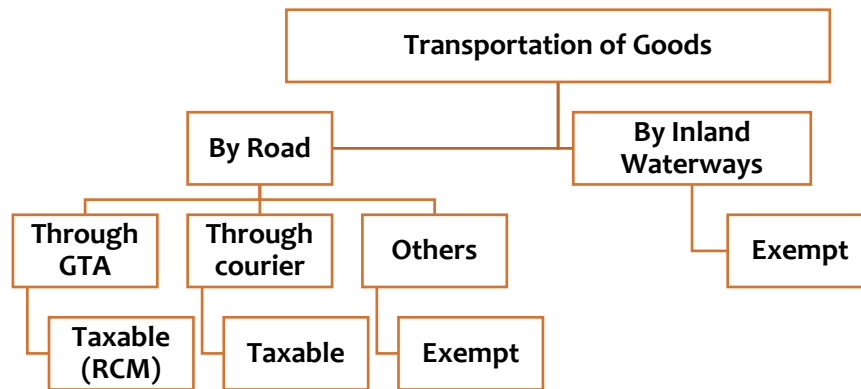
Note: Above Exemptions shall not be available if such services are notified u/s 9(5) & supplied through ECO



* embarking from or terminating in an airport located in Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, or Tripura or at Bagdogra located in West Bengal. [BATMAN – MMS]



Goods transportation services



Note: local delivery services provided by/through an ECO – Taxable

a) Services by way of transportation by rail or a vessel or GTA from one place in India to another of the following goods:

- ✓ relief materials meant for victims of natural or man-made disasters, calamities, accidents or mishap
- ✓ defence or military equipment
- ✓ newspaper or magazines registered with the Registrar of Newspapers
- ✓ agricultural produce
- ✓ milk, salt and food grain including flours, pulses and rice; and
- ✓ organic manure.



a) Services provided by a GTA to URP, including an unregistered CTP other than the following recipients, namely:

- ✓ any factory registered under Factories Act, 1948; or
- ✓ any Society registered under Societies Registration Act, 1860; or
- ✓ any Co-operative Society established by or under any law in force; or
- ✓ any body corporate established, by or under any law in force; or
- ✓ any partnership firm whether registered or not under any law including AOPs



✓ any CTP registered under GST

b) Services provided by a GTA, by way of transport of goods to:

- ✓ a Department or Establishment of CG/SG/UT/LA; or
- ✓ Governmental agencies deducting TDS u/s 51 and not for making a taxable supply of G/S.



Banking and financial services

Banking & Financial Services

Services by way of Extending deposits, loans or advances against interest or discount

Services by way of sale or purchase of foreign currency amongst banks or authorized dealers

Services by an acquiring bank, to any person in relation to settlement of an amount up to ₹2,000 in a single transaction transacted through credit card, debit card, charge card or other payment card service

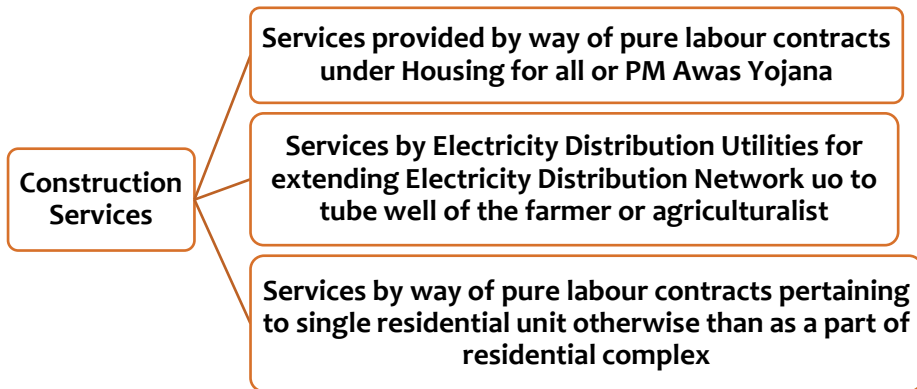
Services provided by bank under PM Jan Dhan Yojana

Notes:

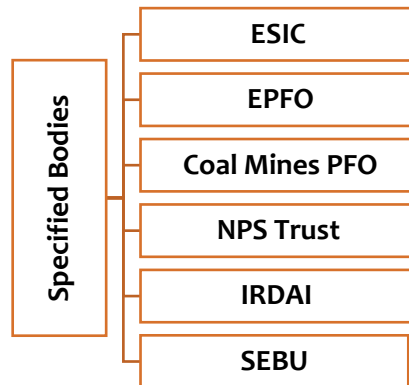
- ✓ Service charges/fees, documentation fees, broking charges, administrative charges, entry charges or such like fees or charges collected = Taxable.
- ✓ Invoice discounting/cheque discounting Facility = Exempt to the extent consideration is represented by way of discount
- ✓ Charges for late payment of outstanding dues on credit card = Taxable



Construction services



Services provided by specified bodies



Business facilitator/correspondent Services

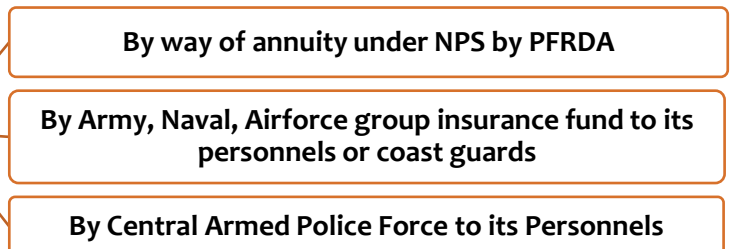
Service provider	Service Recipient	Exemption
Services by BF/BC	Rural Branch Bank	Exempt
Services by any person as an Intermediary to BF/BC	Rural Branch Bank	Exempt
Services by BF/BC	Insurance company in Rural area	Exempt

Insurance & Pension Services

Exemptions:

- Life Insurance services** under below schemes:
 - ✓ Janshree, Aam aadmi, Varishtha Pension Bima Yojana,
 - ✓ PM Jeevan Jyoti, Jan Dhan, Vaya Vandan Yojana,
 - ✓ Life micro insurance product upto max cover of Rs. 2,00,000
- General Insurance Services** under various schemes:
 - ✓ Hut, cattle, agricultural pump set and failed well insurance
 - ✓ Rashtriya Swasthya, Bangla shasya bima Yojana
 - ✓ Janata Personal, Group Personal & Gramin accident policy
 - ✓ Jan Arogya & PM Fasal Bima Yojana
 - ✓ Nirmaya Health Insurance scheme
- Re-insurance** of all listed above insurance schemes
- Services by way of **collection of contribution** under Atal Pension Yojana or Pension scheme of SG.
- Life Insurance Services:**

LIC Services



Services provided to Government

Services to Govt.

Pure services (excluding works contract service or other composite supplies involving supply of any goods) provided by way of any activity related to any function entrusted to a Panchayat/Municipality

Composite supply of G/S in which VOS of goods constitutes $\leq 25\%$ of the value of supply by way of any activity related to any function entrusted to a Panchayat/Municipality

Services under any Insurance Scheme for which total premium is paid by CG/SG/UT

Services under any training programme for which 75% or more of the total expenditure is borne by CG/SG/UT

Services provided by Fair Price shops

Legal services

Services provided by:

Arbitral Tribunal / Senior Advocate

To any person other than a business entity or

To a business entity with AATO up to Reg. threshold

To CG/SG/UT, Govt. Authority or Government Entity

Individual / Firm of Advocates other than Senior Advocate

To an advocate / Firm of advocates

To any person other than a business entity or

To a business entity with AATO up to Reg. threshold

To CG/SG/UT, Govt. Authority or Government Entity

Sponsorship of sports events

Services by way of sponsorship of sporting events organized

by a National sports federation, or its affiliated federations

by Association of Indian Universities, Inter-University Sports Board, School Games Federation of India, All India Sports Council for the Deaf, Paralympic Committee of India or Special Olympics Bharat;

by the Central Civil Services Cultural and Sports Board

by the Indian Olympic Association; or

under the Panchayat Yuva Kreedha Aur Khel Abhiyaan Scheme

Performance by an artist

Services by an artist by way of performance in folk or classical art forms of

Music

Dance

Theatre

only if the consideration charged for such performance is $\leq ₹1,50,000$ are exempt from GST.

Taxable irrespective of Consideration

Provided by an artist as Brand Ambassador

Activities of artist in still art forms

Performance of actors in Films/TV Serials



Right to admission to various events

- a) Services by way of admission to a museum, national park, wildlife sanctuary, tiger reserve or zoo
- b) Services by way of admission to a protected monument
- c) Services by way of right to admission to following only if amount of ticket is up to Rs. 500:
 - ✓ circus, dance, or theatrical performance
 - ✓ award function, concert, pageant, musical performance
 - ✓ recognized sporting event
 - ✓ planetarium



Services by an unincorporated body or a NPO (Part-A)

Service by an unincorporated body or a Registered NPO registered to its own members by way of reimbursement of charges or share of contribution:

- a) as a trade union
- b) for the provision of carrying out any activity which is exempt from GST or
- c) up to an amount of ₹7,500 per month per member for sourcing of G/S from a third person for the common use of its members in a housing society or a residential complex (Entire amount is Taxable if exceed)

Notes:

- ✓ amount collected purely as reimbursement for amount paid as statutory dues i.e. Property/Water Tax or Electricity charges shall not be considered in the above limit
- ✓ RWAs are entitled to take ITC of GST paid by them on capital goods, inputs and input services.
- ✓ Ceiling of Rs. 7500 shall be applied separately for each residential apartment owned by him.

Import of Services

Exempt only if services have been taken by

CG/SG/UT/LA

Individual for Personal Purpose

Charitable Trust

important

Tour Operator Services



However, in case of tour partly in India and Partly Outside India, exemption shall be restricted to service which is performed outside India

Note 1: 'Foreign tourist' means a person not normally resident in India, who enters India for a stay of ≤6 months for legitimate non-immigrant purposes.

Note 2: The value of the tour operator service performed outside India shall be lower of:

- ✓ Total consideration charged for the entire tour x Number of days for which the tour is performed outside India / total no of days
- ✓ 50% of the total consideration charged for the entire tour

Note 3: Time ≥ 12 hours shall be considered as one full day and any duration of time < 12 hours shall be taken as half a day

Other exempt services

1. Services by way of transfer of a going concern
2. Services of renting of residential dwelling for use as residence shall be exempt if provided to:
 - ✓ URP
 - ✓ RP (if proprietor) taken on rent for his own residence



3. Services provided by an **incubatee** up to a **total turnover of ₹50 lakh** in a financial year subject to the following conditions:
- Total turnover had not exceeded ₹50 lakh** during PFY and
 - 3 years** has not elapsed from the date of entering into an agreement as an incubate

4. Services by way of **collecting or providing news** by an independent journalist, Press Trust of India or United News of India.



5.

Services by way of giving on hire (including renting of vehicle)

To STU, a motor vehicle means to carry > 12 passengers

To Local Authority, an Electrically Operated Vehicle meant to carry > 12 passengers

To GTA

To Person providing services of transportation of students, faculty and staff to an educational institution providing services by way of pre-school education and education up to HSS or equivalent

6. Services of **public libraries**
7. Service by way of access to a road or a bridge **on payment of toll charges, overloading Charges** or any **Additional charges** for not having valid Fastag
8. **Satellite launch** services
9. Services by an organizer to any person in respect of a **business exhibition** held outside India.
10. Services by a **foreign diplomatic** mission located in India.
11. Services by way of **providing information** under the RTI Act
12. GST on **payment of honorarium** to the Guest Anchors = **Taxable**
Guest anchors whose AATO in FY < Registration Threshold = **Exempt**



13. Import of services by a **Branch office of foreign airline companies** from related persons or establishments outside India is exempted, provided the import is without consideration
14. Services by way of pre-conditioning, pre-cooling, ripening, waxing, retail packing, labelling of **fruits and vegetables** which do not change or alter the **essential characteristics** of the said fruits or vegetables.
15. Services by way of granting **National Permit** to a goods carriage to operate through-out India/ contiguous States
16. Supply of **research and development services** by government entities, universities, colleges, or institutions notified u/s 35 of Income Tax Act, 1961 is exempt.
17. Services by way of **public conveniences** such as provision of facilities of bathroom, washrooms, lavatories, urinals or toilets = **Exempt**
18. Services provided to a **Governmental Authority** by way of:
- ✓ **Water supply**
 - ✓ **Public health**
 - ✓ **Sanitation conservancy**
 - ✓ **Solid waste management; and**
 - ✓ **Slum improvement and upgradation**



19. Services provided to **recognized sports (RSB)** body by-
- an individual as a player, referee, umpire, coach or team manager for participation in a sporting event organized by a RSB
 -

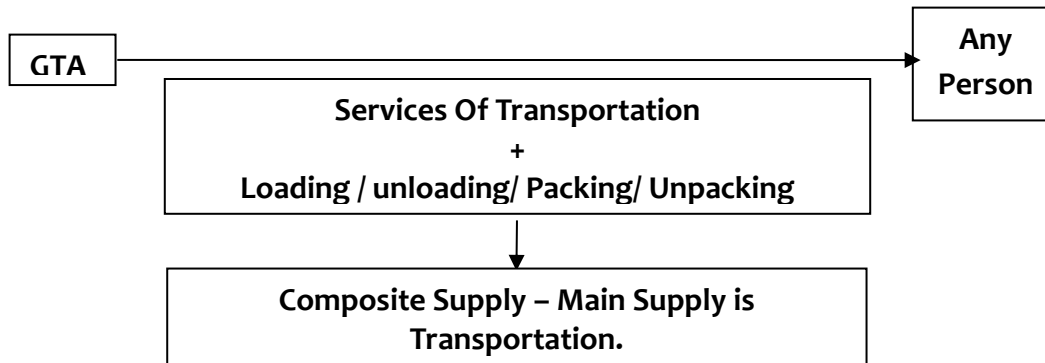
Taxable services provided to RSB

by individual such as Selectors, commentators, curator & Technical Experts

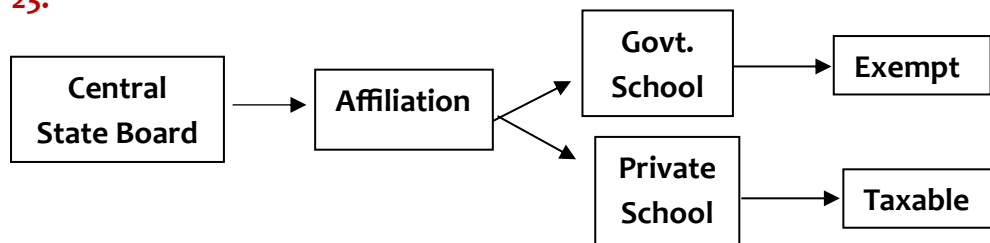
Service of a player to a franchisee which is not a RSB



20. Import of services by a Branch office of foreign airline companies from related persons or establishments outside India is exempted, provided the import is without consideration
21. Supply research and development services by government entities, universities, colleges, or institutions notified u/s 35 of Income Tax Act, 1961 is exempt.
22. **Composite Supply Of GTA**



23.



24. **imp** Services provided by Hostels, Camps, Paying Guest accommodations Supply of accommodation services having value of supply upto ₹ 20,000 per person per month provided that the accommodation service is supplied for a minimum continuous period of 90 days.
25. Services provided by Ministry of Railways (Indian Railways) to individuals by way of:

- a) Sale of platform tickets;
 - b) Facility of retiring rooms/waiting rooms;
 - c) Cloak room services; and
 - d) Battery operated car services.
26. Services provided by one zone/division under Ministry of Railways (Indian Railways) to another zone(s)/division(s) under Ministry of Railways (Indian Railways).
27. Any services provided by:
- a) the National Skill Development Corporation set up by the Government of India;
 - b) the National Council for Vocational Education and Training;
 - c) an Awarding Body recognized by the National Council for Vocational Education and Training;
 - d) an Assessment Agency recognized by the National Council for Vocational Education and Training;
 - e) a Training Body accredited with an Awarding Body that is recognized by the National Council for Vocational Education and Training in relation to:
 - i. the National Skill Development Programme or any other scheme implemented by the National Skill Development Corporation; or
 - ii. a vocational skill development course under the National Skill Certification and Monetary Reward Scheme; or
 - iii. any National Skill Qualification Framework aligned qualification or skill in respect of which the National Council for Vocational Education and Training has approved a qualification package.
28. Supply of services by way of providing metering equipment on rent, testing for meters/ transformers/capacitors, etc, releasing electricity connection, shifting of meters/service lines, issuing duplicate bills, etc which are incidental or ancillary to the supply of transmission and



distribution of electricity provided by electricity transmission and distribution utilities to their consumers.

29. Services of life insurance/ health insurance business provided by an insurer to the insured, where the insured is not a group.

v.imp

Explanation: For the removal of doubts, it is hereby clarified that:

- a. This exemption shall apply to a contract of insurance where the insured is an individual, or an individual and family of the said individual.
- b. For the purposes of (a) above, family shall include all individuals insured as family in the contract of insurance.

For the purposes of above entries, 'group' means group of persons who join together with a commonality of purpose or for engaging in a common economic activity, other than availing insurance, and includes:

- a) **Employer– employee groups**, where an employer-employee relationship exists between the master/group policyholder and the members of the group in accordance with the applicable laws;
- b) **Non employer– employee groups**, where a clearly evident relationship exists between the master/group policyholder and the members of the group, for services/ activities other than insurance.



**THANK
YOU**

A horizontal golden light flare or lens flare effect positioned below the word 'YOU'.